



BT-KPMG
Quantitative Winners

- 1** **Best Large Indian Bank**
HDFC Bank
- 2** **Best Mid-sized Indian Bank**
Bank of Maharashtra
- 3** **Best Small Indian Bank**
Tamilnad Mercantile Bank
- 4** **Best Large Foreign Bank**
J.P. Morgan India
- 5** **Best Small Finance Bank**
AU Small Finance Bank

surge is in doubt. Some segments like unsecured personal loans, credit cards, business banking and MSMEs are also risky for banks. “Stress is already seen in some sectors, like textiles (due to high cotton prices and less export demand), gems and jewellery, etc. Most fresh slippages for banks in Q2 of FY23 are from the MSME sector. Part of these loans are from an already restructured category, suggesting continued stress in the sector,” says Manu Rishi Guptha, Founder & CEO of MRG Capital, a portfolio management services (PMS) firm. According to Naveen Kulkarni, Chief Investment Officer at Axis Securities PMS, although credit growth is on track, the danger of a delayed pick-up in the capex cycle may possibly impair its momentum.

Another challenge for banks will be on the funding side, as they are already drawing down on their high-quality liquid assets to fund credit growth. In fact, banks have been holding their liquidity coverage ratios (or LCR, which is investment in high-quality liquid assets that can be easily liquidated) in excess of 150 per cent (the regulatory minimum is 100 per cent) by investing in short-term debt to take care of sudden outflows by depositors and other investors. As against banks’ credit growth of 17 per cent, the deposit growth year-on-year is in the region of 9.4 per cent. “Banks should keep an eye on the gap between credit and deposit growth,” says Kulkarni.

| 59

AT SOME STAGE, banks will also have to increase their deposit rates. While capital levels are comfortable, they will have to raise additional capital in the near future. Some banks have taken prudent decisions when loan growth slowed in recent years. For example, State Bank of India kept its deposit engine running by deploying the surpluses in its treasury. “We have got almost about ₹3.5 lakh crore-plus money that is lying in treasury instruments, which we expect to redeem during the current financial year itself,” SBI Chairman Dinesh Khara told investors recently.

The deposits market is seeing fierce competition. For instance, a small finance bank like AU Small Finance Bank gets deposits from urban centres even though its lending markets are semi-urban and rural areas. Similarly, regionally-focussed Bank of Maharashtra changed its strategy a few years ago to have at least one branch in each district (approximately 760) by 2023-24. The results have pleased A.S. Rajeev, MD & CEO of Bank of Maharashtra: “We had seven branches in Kerala with a total business volume of around ₹350 crore, which has now jumped to 30 branches and ₹7,500 crore of business.”

Rising interest rates would hurt borrowers. But